

Arts, business, law students hit hardest as uni fees rise

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University students will be slugged with an average 7.8 per cent increase in tuition fees [<https://www.afr.com/politics/federal/uni-students-face-7-8pc-fees-increase-under-inflation-lag-20230126-p5cfox>] next year, up from 7.1 per cent in June, and well above the 6 per cent inflation rate.

Arts, business and law students will be the hardest hit under fees set by the Education Department, which continue to follow a Morrison government prescription that was supposed to encourage students to study in areas of “national priority”.



University fees for some students have risen by 50 per cent in just five years. **Louise Kennerley**

While Education Minister Jason Clare wants to double the number of university students by 2055, students are angry over rising fees and the failure of the Albanese government to unwind the former government’s “unfair” system.

“By the time these indexed funding rates come into effect next year, the current government will be more than halfway through its term and still waiting for the outcomes of the university accord process to make any changes,” Group of Eight chief executive Vicki Thomson said.

“It is almost universally acknowledged that the current system has failed universities, students and research.”

Demand for university is soft, [<https://www.afr.com/work-and-careers/education/why-being-a-tradie-might-be-a-better-option-than-uni-20230918-p5e5j8>] and even going backwards in some states, as potential students opt for trades and high-paying unskilled jobs.

Need for change is ‘urgent’

Students in law, accounting, economics, communications, history and gender studies have experienced a near-50 per cent increase in tuition costs over the five years to 2024, fees released by the federal Education Department last Monday show.

“The federal government has deferred this problem to be dealt with by its review of higher education, but I would think it should be put in the urgent category,” Australian National University policy expert Andrew Norton said, relating to unfair fee rises.

The increases, determined by the Education Department, do not hit equally. Agriculture students are paying 53 per cent less than they were five years ago, and education and nursing students are paying 32 per cent less.

Student contributions for performing arts have gone up 36 per cent, and for medicine, dentistry and veterinary science by 16 per cent.

As a result, an arts graduate with honours pays about the same as a medical or dentistry student would for a five-year medical degree [<https://www.afr.com/policy/health-and-education/wiping-out-student-debt-for-doctors-is-a-sop-to-the-rich-economist-20221110-p5bx69>], despite their wildly different earnings trajectories once in the workforce.

Arcane calculation

“There is no equity in a funding system whereby humanities students will be paying 93 per cent of their course costs, with the amount added to their HELP debt in 2024 nearly 50 per cent higher than in 2019,” Ms Thomson said.

“Critical workforce disciplines for Australia to support AUKUS, the National Reconstruction Fund and the development of a modern, innovative economy are still underfunded. In 2024, universities will receive less for teaching engineering and science than in 2019.”

The main catalyst behind the huge differential in charges is a Morrison government policy called “job-ready graduates”, which was designed to encourage students into fields then-education minister Dan Tehan said were important to the economy.

At the same time, the federal Education Department uses an arcane and bewildering calculation to determine the rate of indexation applied to student contributions and HECS debts, resulting in next year’s fee increase being well above the rate of inflation.

The accord panel has said the scheme risked damaging the sector if left unaddressed – and yet it prevails in 2024, and students will bear the brunt of delays in addressing the funding university teaching.

Mr Clare said last month that one of his three big concerns was the rising cost of getting a degree [<https://www.afr.com/work-and-careers/education/bring-back-the-tutorial-and-train-graduates-how-to-think-o-kane-20230822-p5dygw>], alongside the cost of living for students and the cost of disadvantaged young people missing out on a university place.

Ms Thomson said it would not be unreasonable for the federal government to consider restoring pre-“job-ready graduates” funding rates before the accord process delivers the long-term solution to provide respite to students, particularly those from low socio-economic and other disadvantaged backgrounds.

Enrolment patterns unchanged

However, Mr Clare told *The Australian Financial Review* that “the universities accord team are looking at the issue of affordability and the way the whole HELP system works”.

“The accord team is working on how to fix this and what other changes might need to be made, including the most appropriate way to reduce the volatility of the current indexation method,” Mr Clare said.

An exhaustive analysis of student preferences [<https://www.afr.com/work-and-careers/education/students-ignore-costs-in-choosing-university-study-analysis-20221021-p5brsw>] in NSW between 2014 and last year found almost zero change in student enrolment patterns after the introduction of the “job-ready” policy.

At the same time, inflation has resulted in big increases in student debt when indexation is applied to new and existing debts.

When the first tranche of indexation was introduced in June, the average student debt was estimated to increase by \$1760 a year.

In the face of rising student debt, concerns over sexual assaults on campuses, casualisation of the teaching workforce and wage theft, universities are in damage control as their reputations take a hammering.

The steep increase in fees, which will result in graduates taking longer to repay debt, comes as young people struggle to get a foothold in the housing market [<https://www.afr.com/politics/federal/generation-left-why-the-right-side-of-politics-has-a-problem-20230717-p5dos7>] and delay making decisions [<https://www.afr.com/link/follow-20180101-p59g61>] about adult rites of passage, such as having children.

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